

Ingres' take on the deal

When it comes to core database servers, Ingres is arguably the most feature-complete open source competitor of Oracle DB. Here's what Roger Burkhardt, CEO, Ingres Corporation, has to say about the acquisition...

The revenue and earnings momentum from the string of acquisitions that Oracle has made is forcing it to buy into the hardware business, as it has run out of software assets to buy. The timing is interesting as, starting next quarter, the BEA acquisition will no longer mask any slowdown in revenues or margin improvements in the core business (BEA closed on April 29th, 2008). When this deal goes through, then Oracle will become a single-stack hardware, OS and applications company—a market position that HP has always avoided, and IBM had to retreat from. As a result, many hardware manufacturers will be reassessing their relationships with the combined Sun-Oracle combo—and this will open up opportunities for other software infrastructure players like Red Hat and Ingres.

We are witnessing the beginning of the end of the whole 1980s proprietary IT era as the "New Economics of IT" takes over, and customers switch out of extraordinarily high-cost hardware and software, and migrate to open source and open standards. Oracle may be billing this merger as the beginning of the "next phase of computing", but they are missing the point. The demise of Sun has been caused by the "next phase of computing" which Ingres sees as the emergence of open source and open standards in the "New Economics of IT". Oracle may believe that by locking in the customer at the hardware, OS and applications level it can hold back the inevitable, but history speaks otherwise.

Oracle is claiming the merger as a major profit-making opportunity that will enable it to squeeze customers and run Sun at "substantially higher margins". This is consistent as it has raised prices dramatically on BEA's Weblogic application server after that acquisition, and drove many customers to seek open source offerings such as Red Hat's JBoss. JBoss, Ingres, and other open source offerings provide the "New Economics of IT" that does away with predatory pricing tactics, and encourages open standards and competition rather than proprietary lock-in.

The cause of Sun's demise lies in the commoditisation of its hardware business from open source and open standards. The compelling cost advantage of Linux on commodity hardware squeezed out the revenue and profit from Sun's SPARC server business and its software business is tiny by comparison.

Oracle wants the Solaris operating system and it wants to control Sun's Java assets

to compete with the strength of Microsoft's development ecosystem. The MySQL database and GlassFish application server come free with the package, and Oracle won't allow them to cannibalise the license revenues from its core database and Weblogic application server business. GlassFish/MySQL will be positioned as developer offerings that provide an easy "on ramp" to production use of Oracle's proprietary offerings. Customers won't see the long-term investments required to create a competitive enterprise-class database, and are likely to see MySQL make even more use of proprietary Oracle interfaces and management tools.

This is mostly negative for users. Oracle claims in its release that they can wring more profit out of existing Sun assets, but history shows this will largely come out of users' pockets. ISVs and their customers will be worrying about price increases for their Java licences.

Given that Oracle bought the InnoDB product line from Innobase in October 2005 (a storage engine that complements the MySQL database), we would expect them to reintegrate InnoDB with MySQL. This involves undoing the work of the past three years, and so creates additional delays and uncertainty about upgrade strategies for MySQL users stranded on old releases.

Oracle's history of predatory pricing and business practices probably makes this a negative outcome for software users. However, both companies have massive licence revenue conflicts that undercut any interest in growing Sun's open source assets.

We don't view this as a monopoly but it reduces competition in the RDBMS space by removing the threat of MySQL "going up-market" from its base in Web applications to compete with Oracle's enterprise class database. However, Ingres already provides a proven choice in this space. There is also a negative impact on Sybase, which has its largest DBMS install base on Solaris, and many users are already reconsidering the use of Sybase long term and considering open source and other alternatives. Oracle sales teams will now have visibility and access via Solaris and can argue for consolidation under an Oracle contract.

On the positive side, Oracle is motivated to continue to invest in Java to create an alternative to Microsoft's developer ecosystem and MySQL will continue to serve much of the Web. From a database and application server perspective, this will eliminate the future evolution of MySQL/GlassFish into credible open source alternatives to proprietary offerings for enterprise-class infrastructure. However, right now, Red Hat's JBoss and the Ingres database already provide more mature and capable alternatives in both these two categories. So from a user perspective, open source competition is maintained.

